and kludgy. But Dave Nadig (you met the well-regarded ETF and market structure wizard earlier) made me more open-minded about its potential. Instead of holding a bunch of funds, investors hold most of the individual equities from *within those funds*. My original concern was portfolios with 1,000+ individual stock holdings[420] and statements that were 100s of pages long versus cheap,[421] simple, passive ETF portfolios. If only someone could make it simpler and cleaner to use, I would be interested.

My partner, Michael Batnick, drove Ritholtz Wealth Management's adoption of DI. In 2019, after seeing a demo of O'Shaughnessy Asset Management's software Canvas, he was convinced it would be a giant winner for our clients with concentrated, appreciated positions. Canvas's competitive advantage is that it was built on the OSAM database, continually refined by Jim O'Shaughnessy since his 1996 quant book *What Works on Wall Street*. RMW became one of five beta testers of Canvas, and today, we are its biggest client.

Many other firms built or bought DI technology, including Franklin Templeton, which purchased O'Shaughnessy Asset Management to acquire Canvas. Fidelity launched Solo FidFolios, and Schwab introduced Personalized Indexing. J.P. Morgan purchased 55ip, Eaton Vance (now part of Morgan Stanley) acquired Parametric, BlackRock bought Aperio, Vanguard acquired Just Invest, PGIM bought Green Harvest, and Pershing acquired Optimal.

When this many of the world's biggest investment managers see the potential to save their clients capital gains taxes, you should take notice.

My experience was shaped by the 2020 pandemic swoon when markets fell 34% before hitting bottom and recovering. Those who had taken advantage of DI were able to substantially reduce their capital gains taxes in their concentrated equity holdings. DI performed an order of magnitude better than traditional tax loss harvesting.

Why? Consider traditional portfolios that hold a dozen mutual funds or